BUSINESS DATA MANAGEMENT

Lecture12

B2B buying situations

Welcome back. And in this video, we will continue from where we stopped in the previous video where I discussed more about the organizational buying behavior, which is B2B purchases and the various steps involved in the organizational buying process. And it starts from problem recognition. All the way to post usage performance review. And I said that the only one thing which is common in the B2C versus the B2B is the post usage performance review, right?

And if the product or service is not as per what you expected, then we don't tend to buy from them again. And I also told you that whenever you buy in B2B, you follow these eight steps, but do we all the time have to follow these eight steps? Because these eight steps can typically take a lot of time because you start all the way from problem recognition to post usage performance review, the answer is no. Now, let's try to understand the different buying situations. So there are, so let's try to understand the different buying situations.

So there are three different buying situations. There are three different buying situations in B2B. The first one is what we call as a straight rebuy. The second is what we refer to as a modified rebuy.

And the third is what we refer to as a new task situation. So B2B Purchase in B2B, there are three different buying situations. Should we be doing all the eight steps? It is actually dependent on what kind of buying situation it is.

And let's try to understand these three buying situations in detail in this video. So let me kind of draw, insert a table so that we have a better understanding. So what is a straight rebuy? So the first thing that we have is what we call a straight rebuy. Now straight rebuy is done.

Is done for items, is done for products that are inexpensive. Look at the string that I'm writing, inexpensive and Slash or bought frequently. Inexpensive and or bought frequently. For instance, let's say that the organization wants to buy a lot of pens.

Is it a B2B purchase? The answer is yes, right? So do you want to do all these eight steps? The answer is no. Why?

Because these products are what we call as, they are not very expensive, right? They're inexpensive. Or let's say office supplies, consumables that you buy. It is not very expensive or it is something that you buy, keep buying frequently. And in such cases, you do not have to do the eight steps.

Don't have to do all the eight steps, right? What you can just do is just do step number seven and eight, right? Just make, do step number six, seven, eight, or just seven and eight. That is sufficient. The second type of buying situation is what we refer to as new task.

Now, what is this new task buying, new task situation? Now new task situation is done, new task situation is done for products that are expensive. Let me put it in quotes, that are expensive and bought for the first time. So if the product is expensive, let's say that a company, taking you back to the laptop example, And there they just ordered 250 laptops because they had issues.

Whether it was bought the first time, no, they might have bought it. But right now they just want to do a completely new purchase. So it is expensive as well. It is being bought for the first time. Or let's take the example of a photocopying machine.

And they just want to buy this and it is pretty expensive as well. They want to buy like four, five photocopying machines or 250 laptops. This is expensive and happens for the first time. In this step, they will have to do all the eight steps, to do all eight steps, right?

So what is this new task situation? So let's say that the company buys 250 laptops for the first time from a new vendor. It's a new task situation. You do all the eight steps starting from problem recognition to post purchase review. Now, what is a straight rebuy case?

When does a new task become a straight rebuy? Now, let's say that the organization ordered 250 laptops. They received these laptops and they decide to buy 30 more laptops. Add 30 more laptops on top of it.

That becomes a straight rebuy. Why? Because you are now, if you see the swing, it is inexpensive and bought frequently, inexpensive or bought frequently. Because you're buying 30 laptops from the same vendor within two or three months. You don't have to do the eight steps.

Just place the order and get it. There is a third thing that comes in between this, which is called modified rebuy. Now what is this modified rebuy? Sometimes it may so happen that some modifications, some modifications, may be needed. Some modification may be needed in the existing product.

For example, you may want to input certain new software. Let's say you identify Dell as your supplier, but there are certain new software which needs to be put, which may be done by Dell or a third party, which is just kind of working along with Dell to kind of do this. Now, what happens here is that should we be doing all the eight steps? Now, that depends on the cost. If the cost goes up, if the cost of these modifications that you need in the existing product, again, modified rebuy doesn't mean that you have to look for a new supplier.

The existing supplier may be in a position to modify this. For example, let's say that you order 250 laptops. The next time you want to order, you want certain modifications. And the existing supplier may be able to do that. The existing supplier may not be in a position to do that, right?

If the existing supplier is in a position to do that, you see how much the cost is actually coming up to. Or if they're working at, let's say that a software is to be

inputted in this particular device, then, you know, it's again, you make modifications in the existing product. So should we do all these eight steps? The answer is it kind of depends on the cost. And if the cost is high, you typically end up doing these eight steps as well.

To give you one example that covers all three steps, for example, let's say that for IIT Madras-based program, you do these hoodies for Paradox, the T-shirts, right? So what would be the new task? You know, ordering, let's say, 5,000 to 10,000 T-shirts is a new task situation because each T-shirt or a hoodie costs 500, 10,000, a big number. The same thing is to be bought. You know, you want to buy 200 more.

You don't have to do anything, not a new task again. You just do a straight rebuy. But now let's say that you want the logo of IIT Madras and your name, you know, printed on your hoodie. Now, this is what we call as modified rebuy situation where, you know, the existing vendor may not be able to do it in such cases.

And each model of these customizations might come at 50 rupees, 60 rupees. And when you have this 10,000 into consideration, it's a big cost, right? From the institution standpoint, from whichever the company can sell that. In such cases, what you do is you go for a modified rebuy, whether you do the eight steps or not, it depends on the cost. So I hope this video kind of clarifies for you the different buying situations in B2B.

While conventionally, when it's a new task or a modified rebuy, we tend to do all the eight steps. This is not the case when it's a straight rebuy, and straight rebuy is done for products which are inexpensive, which means like office supplies, consumables, inexpensive. You don't want to waste your time doing these eight steps because it does take a lot of time. Or they are bought frequently. What I mean by bought frequently is items are expensive, but since you have been frequently ordering it, it is no more a new task.

It now becomes what we call as a straight rebuy. So I hope this gives you a better understanding about the three different buying situations in B2B. Look forward to meeting you in the next video.